

SENATE/HOUSE FILE _____
BY (PROPOSED DEPARTMENT OF
TRANSPORTATION BILL)

A BILL FOR

1 An Act relating to matters under the purview of the department
2 of transportation, and including applicability provisions.
3 BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF IOWA:

DIVISION I

CHAUFFEUR'S INSTRUCTION PERMITS

Section 1. Section 321.1, subsection 20A, Code 2026, is amended to read as follows:

20A. "*Driver's license*" means any license or permit issued to a person to operate a motor vehicle on the highways of this state, including but not limited to a restricted work, special minor's restricted, temporary restricted, or temporary license and an instruction, ~~chauffeur's instruction~~, commercial learner's, or temporary permit. For purposes of license suspension, revocation, bar, disqualification, cancellation, or denial under this chapter and chapters 321A, 321C, and 321J, "*driver's license*" includes any privilege to operate a motor vehicle.

Sec. 2. Section 321.180, subsection 3, Code 2026, is amended by striking the subsection.

Sec. 3. Section 321.180, subsection 4, Code 2026, is amended to read as follows:

4. The instruction permit, ~~chauffeur's instruction permit~~, and commercial learner's permit are subject to suspension or revocation for the same reasons and in the same manner as suspension or revocation of a driver's license.

Sec. 4. Section 321.191, subsection 1, Code 2026, is amended to read as follows:

1. *Instruction permits.* The fee for an instruction permit, other than a special instruction permit, ~~chauffeur's instruction permit~~, or commercial learner's permit, is six dollars. The fee for a special instruction permit is ten dollars. The fee for a ~~chauffeur's instruction permit~~ or commercial learner's permit is twelve dollars.

Sec. 5. Section 321.196, subsection 1, Code 2026, is amended to read as follows:

1. Except as otherwise provided, if the licensee is between the ages of seventeen years eleven months and seventy-eight years on the date of issuance of the license, a driver's

1 license, other than an instruction permit, ~~chauffeur's~~
2 ~~instruction permit~~, or commercial learner's permit issued
3 under section 321.180, expires eight years from the licensee's
4 birthday anniversary occurring in the year of issuance, but
5 not to exceed the licensee's eightieth birthday. If the
6 licensee is under the age of seventeen years eleven months
7 or age seventy-eight or over, the license is effective for a
8 period of two years from the licensee's birthday anniversary
9 occurring in the year of issuance. A licensee whose license is
10 restricted due to vision or other physical deficiencies may be
11 required to renew the license every two years. If a licensee
12 is a foreign national who is temporarily present in this state,
13 the license shall be issued only for the length of time the
14 foreign national is authorized to be present as verified by the
15 department, not to exceed two years.

16 Sec. 6. Section 321J.1, subsection 7, Code 2026, is amended
17 to read as follows:

18 7. "*Driver's license*" means any license or permit issued
19 to a person to operate a motor vehicle on the highways of this
20 state, including but not limited to a driver's, commercial
21 driver's, temporary restricted, or temporary license and an
22 instruction, ~~chauffeur's instruction~~, commercial learner's, or
23 temporary permit.

24 Sec. 7. Section 321M.1, subsection 5, Code 2026, is amended
25 to read as follows:

26 5. "*Driver's license*" means any license or permit issued
27 to a person to operate a motor vehicle on the highways of this
28 state, including but not limited to a driver's, commercial
29 driver's, temporary restricted, or temporary license and an
30 instruction, ~~chauffeur's instruction~~, commercial learner's, or
31 temporary permit.

32 Sec. 8. CHAUFFEUR'S INSTRUCTION PERMIT VALIDITY. A
33 chauffeur's instruction permit issued before the effective
34 date of this division of this Act shall remain valid until the
35 expiration date listed on the permit. Until the expiration

1 of the permit, the permittee may continue to operate a motor
2 vehicle in accordance with section 321.180, subsection 3, Code
3 2026.

4 DIVISION II

5 ELECTRONIC ACCIDENT REPORTS

6 Sec. 9. Section 321.266, subsections 2 and 3, Code 2026, are
7 amended to read as follows:

8 2. The driver of a vehicle involved in an accident resulting
9 in injury to or death of any person, or total property damage
10 to an apparent extent of one thousand five hundred dollars or
11 more, shall, submit a written report of the accident to the
12 department within seventy-two hours after the accident, ~~forward~~
13 ~~a written report of the accident to the department.~~ However,
14 such report is not required when the accident is investigated
15 by a law enforcement agency.

16 3. Every law enforcement officer who, in the regular course
17 of duty, investigates a motor vehicle accident of which report
18 must be made as required in subsections 1 and 2, either at
19 the time of and at the scene of the accident or thereafter by
20 interviewing participants or witnesses, shall, submit a written
21 report of the accident to the department within twenty-four
22 hours after completing such investigation, ~~forward a written~~
23 ~~report of such accident to the department.~~

24 Sec. 10. Section 321.271, subsections 1 and 2, Code 2026,
25 are amended to read as follows:

26 1. All accident reports filed by a driver of a vehicle
27 involved in an accident as required under section 321.266 shall
28 be in writing. The report must be in an electronic format and
29 submitted in a manner approved by the department. The report
30 shall be without prejudice to the individual so reporting and
31 shall be for the confidential use of the department, except
32 that upon the request of any person involved in the accident,
33 the person's insurance company or its agent, or the attorney
34 for such person, the department shall disclose the identity
35 and address of other persons involved in the accident and may

1 disclose the name of the insurance companies with whom the
2 other persons have liability insurance. The department, upon
3 written request of the person making the report, shall provide
4 the person with a copy of that person's report. The written
5 report filed with the department shall not be admissible in or
6 used in evidence in any civil or criminal case arising out of
7 the facts on which the report is based.

8 2. All written reports filed by a law enforcement officer
9 as required under section 321.266, or by an officer's or
10 emergency responder's employer under section 321.267A, shall
11 be in writing. The report must be in an electronic format and
12 submitted in a manner approved by the department. A report
13 filed pursuant to section 321.266 shall be made available to
14 any party to an accident, the party's insurance company or
15 its agent, the party's attorney, the federal motor carrier
16 safety administration, or the attorney general, on written
17 request to the department and the payment of a fee of four
18 dollars for each copy. If a copy of an investigating officer's
19 report of a motor vehicle accident filed with the department
20 is retained by the law enforcement agency of the officer
21 who filed the report, a copy shall be made available to any
22 party to the accident, the party's insurance company or its
23 agent, the party's attorney, the federal motor carrier safety
24 administration, other law enforcement agencies, or the attorney
25 general, on written request and the payment of a fee. However,
26 the attorney general and the federal motor carrier safety
27 administration shall not be required by the department or the
28 law enforcement agency to pay a fee for a copy of a report filed
29 by a law enforcement or investigating officer.

30 DIVISION III

31 ELECTRONIC APPLICATIONS FOR DRIVER'S LICENSES AND NONOPERATOR'S
32 IDENTIFICATION CARDS

33 Sec. 11. Section 321.189, subsection 3, Code 2026, is
34 amended by striking the subsection.

35 Sec. 12. Section 321.190, Code 2026, is amended by adding

1 the following new subsections:

2 NEW SUBSECTION. 3. *Renewal.* A person may renew a
3 nonoperator's identification card and, if eligible pursuant to
4 rules adopted by the department, may do so electronically. The
5 department shall renew a nonoperator's identification card upon
6 payment of the required fee.

7 NEW SUBSECTION. 4. *Rules.* The department shall adopt rules
8 pursuant to chapter 17A to administer this section.

9 Sec. 13. Section 321.195, Code 2026, is amended to read as
10 follows:

11 **321.195 Replacement of driver's licenses and nonoperator's**
12 **identification cards.**

13 1. A Prior to the expiration of a driver's license or
14 nonoperator's identification card, a person may apply for a
15 replacement, and may do so electronically if eligible pursuant
16 to rules adopted by the department. The fee of ten dollars
17 shall be charged for the replacement of a driver's license or
18 nonoperator's identification card is ten dollars.

19 2. If a person's driver's license or nonoperator's
20 identification card contains inaccurate information, the
21 person shall return the driver's license or nonoperator's
22 identification card to the department and the department
23 shall issue a replacement license or identification card, as
24 applicable.

25 3. If a driver's license or nonoperator's identification
26 card issued under this chapter is lost or destroyed, the person
27 to whom the license or card was issued must furnish proof
28 satisfactory to the department that the driver's license or
29 nonoperator's identification card has been lost or destroyed in
30 order to obtain a replacement.

31 4. The department shall adopt rules pursuant to chapter 17A
32 to administer this section.

33 Sec. 14. APPLICABILITY. This division of this Act applies
34 on and after March 1, 2027, or the date the department of
35 transportation submits to the Iowa administrative code editor

1 for publication in the Iowa administrative bulletin a statement
2 by the director of transportation that the applicable phase
3 of the department of transportation's new records system is
4 implemented, whichever is earlier. The department shall also
5 forward a copy of the statement to the Iowa Code editor.

6 DIVISION IV

7 RECORDS SYSTEM

8 Sec. 15. Section 321.1, Code 2026, is amended by adding the
9 following new subsection:

10 NEW SUBSECTION. 059A. "*Records system*" means the records
11 system described in section 321.31.

12 Sec. 16. Section 321.24, subsections 2 and 9, Code 2026, are
13 amended to read as follows:

14 2. The county treasurer shall maintain in the ~~county record~~
15 records system information contained on the registration
16 receipt. The information shall be accessible by registration
17 number and shall be open for public inspection during
18 reasonable business hours. ~~Copies~~ Information the department
19 requires shall be sent to the department in the manner and at
20 the time the department directs.

21 9. The county treasurer or the department, as applicable,
22 shall maintain in the ~~county or department~~ records system the
23 information contained on the certificate of title and the name
24 and address of the previous owner. The information must be
25 accessible by title certificate number for a period of three
26 years from the date of notification of cancellation of title
27 or date that a new title has been issued as provided in this
28 chapter. ~~Copies~~ Information the department requires shall
29 be sent to the department in the manner and at the time the
30 department directs. The department shall designate a uniform
31 system of title numbers to indicate the county of issuance.

32 Sec. 17. Section 321.31, Code 2026, is amended to read as
33 follows:

34 **321.31 Records system.**

35 ~~A state and county records system shall be maintained in the~~

1 ~~following manner:~~

2 1. ~~State records system.~~

3 a. The department shall install and maintain a records
4 system ~~which~~ for use by the department and county treasurers.
5 The records system must contain records of vehicle
6 registrations and certificates of title, and information
7 from those documents, including the registration certificate
8 number, the dates of perfection and cancellation of security
9 interests, as applicable, information from the registration
10 receipt, any supporting documents, the name and address of
11 the vehicle owner, current and previous registration number,
12 vehicle identification number, make, model, style, date of
13 purchase, registration certificate number, maximum gross
14 weight, weight, list price or value of the vehicle as fixed by
15 the department, fees paid, date of payment, and the name and
16 address of the previous owner. The records system must contain
17 records relating to the department's duties under section
18 307.27. The records system must may also contain a record of
19 the certificate of title including such other information as
20 the department deems necessary. The information to be kept in
21 the records system shall be entered within forty-eight hours
22 after receipt insofar as is ~~practical~~ practicable. The records
23 system ~~shall constitute~~ constitutes the permanent record of
24 ownership of each vehicle titled under the laws of this state.

25 b. 2. The department may make ~~photostatic, microfilm, or~~
26 ~~other photographic~~ copies, including electronic copies, of
27 certificates of title, registration receipts, or other records,
28 reports, or documents which are required to be retained by
29 the department. When copies have been made, the department
30 may destroy the original records in such manner as prescribed
31 by the director. The ~~photostatic, microfilm, or other~~
32 ~~photographic~~ copies, when no longer of use, may be destroyed in
33 the manner prescribed by the director, subject to the approval
34 of the state records commission. ~~Photostatic, microfilm, or~~
35 ~~other photographic copies~~ Copies of records shall be admissible

1 in evidence when duly certified and authenticated by the
2 officer having custody and control of the copies of records.
3 Records of vehicle certificates of title may be destroyed seven
4 years after the date of issue or five years after the date of
5 issuance if the vehicle's registration has been delinquent for
6 five or more consecutive years.

7 ~~c.~~ 3. The director shall maintain a in the records
8 system a record of delinquent accounts owed to the state
9 using information provided through the computerized data bank
10 established in section 421.17. The department and county
11 treasurers shall use the information maintained in the records
12 system to determine if applicants for renewal of registration
13 have delinquent accounts, charges, fees, loans, taxes, or
14 other indebtedness owed to or being collected by the state as
15 provided pursuant to section 421.65. The director and the
16 director of revenue shall establish procedures for updating
17 the delinquent accounts records to add and remove accounts, as
18 applicable.

19 ~~2. County records system.~~

20 ~~a. Each county treasurer's office shall maintain a county~~
21 ~~records system for vehicle registration and certificate~~
22 ~~of title documents. The records system must consist of~~
23 ~~information from the certificate of title, including the~~
24 ~~date of perfection and cancellation of security interests,~~
25 ~~information from the registration receipt, and the name and~~
26 ~~address of the previous owner. The information shall be~~
27 ~~maintained in a manner approved by the department.~~

28 ~~b. Records of vehicle certificates of title for vehicles~~
29 ~~that are delinquent for five or more consecutive years may be~~
30 ~~destroyed by the county treasurer. Automated files, optical~~
31 ~~disks, microfiche records, and photostatic, microfilm or other~~
32 ~~photographic copies of records shall be admissible in evidence~~
33 ~~when duly certified and authenticated by the officer having~~
34 ~~custody and control of the records.~~

35 Sec. 18. Section 321.40, subsections 4, 6, 7, and 8, Code

1 2026, are amended to read as follows:

2 4. The county treasurer shall refuse to renew the
3 registration of a vehicle registered to a person when notified
4 by the department through the ~~distributed teleprocessing~~
5 ~~network~~ records system that the person has not paid restitution
6 as defined under section 910.1, subsection 10, to a clerk
7 of the court located within the state. Each clerk of court
8 shall, on a daily basis, notify the department through the Iowa
9 court information system of the full name and social security
10 number of all persons who owe delinquent restitution and whose
11 restitution obligation has been satisfied or canceled. This
12 subsection does not apply to the transfer of a registration or
13 the issuance of a new registration.

14 6. a. The department or the county treasurer shall refuse
15 to renew the registration of a vehicle registered to the
16 applicant if the department or the county treasurer knows that
17 the applicant has a delinquent account, charge, fee, loan,
18 taxes, or other indebtedness owed to or being collected by the
19 state, from information provided pursuant to sections 421.17
20 and 421.65. An applicant may contest this action by initiating
21 a contested case proceeding with the agency that referred the
22 debt for collection pursuant to section 421.65. The department
23 of revenue and the department of transportation shall notify
24 the county treasurers through the ~~distributed teleprocessing~~
25 ~~network~~ records system of persons who owe such a delinquent
26 account, charge, fee, loan, taxes, or other indebtedness.

27 b. A county treasurer, in cooperation with the department
28 of revenue, may collect from a person applying for renewal of
29 a vehicle registration delinquent taxes, including penalties
30 and interest owed to the state, and nontax liabilities being
31 collected by the central collection unit of the department
32 of revenue pursuant to section 421.17, subsection 27. The
33 applicant may remit full payment of the balance owed including
34 applicable penalties and interest, along with a processing
35 fee of five dollars, to the county treasurer at the time of

1 registration renewal. Upon full payment of the required
2 balance owed including applicable penalties and interest, the
3 processing fee, and the vehicle registration fee, the county
4 treasurer shall issue the registration to the person. A county
5 treasurer collecting on behalf of the department of revenue
6 shall update the vehicle registration records through the
7 ~~distributed teleprocessing network~~ records system on a daily
8 basis for all persons who have paid taxes or other balances
9 owed pursuant to this subsection. A county treasurer shall
10 forward all funds collected for the department of revenue to
11 the department of revenue.

12 7. a. The department or the county treasurer shall
13 refuse to renew the registration of a vehicle registered
14 to an applicant if the department or the county treasurer
15 knows that the applicant has not paid a civil penalty imposed
16 on the applicant pursuant to section 321N.3, subsection
17 3. An applicant may contest this action by initiating a
18 contested case proceeding with the department. The department
19 shall notify the county treasurers through the ~~distributed~~
20 ~~teleprocessing network~~ records system of persons who have not
21 paid such civil penalties.

22 b. The county treasurer of the county of an applicant's
23 residence and in which the applicant's vehicle is registered,
24 in cooperation with the department, may collect a civil
25 penalty imposed on the applicant pursuant to section 321N.3,
26 subsection 3, when the applicant applies for renewal of a
27 vehicle registration. The applicant may remit full payment of
28 the civil penalty, along with a processing fee of five dollars,
29 to the county treasurer at the time of registration renewal.
30 Upon full payment of the civil penalty, the processing fee,
31 and the vehicle registration fee, the county treasurer shall
32 issue the registration to the applicant. A county treasurer
33 collecting a civil penalty on behalf of the department pursuant
34 to this subsection shall update the vehicle registration
35 records through the ~~distributed teleprocessing network~~ records

1 system on a daily basis for all applicants who have paid civil
2 penalties pursuant to this subsection. A county treasurer
3 shall forward all funds collected on behalf of the department
4 to the department.

5 8. The county treasurer shall refuse to renew the
6 registration of a vehicle registered to an applicant if the
7 county treasurer knows that the applicant has one or more
8 uncontested, delinquent parking tickets issued pursuant
9 to section 321.236, subsection 1, paragraph "b", owing to
10 the county, or owing to a city with which the county has
11 an agreement authorized under section 331.553. However, a
12 county treasurer may renew the registration if the treasurer
13 determines that an error was made by the county or city in
14 identifying the vehicle involved in the parking violation or
15 if the citation has been dismissed as against the owner of the
16 vehicle pursuant to section 321.484. This subsection does
17 not apply to the transfer of a registration or the issuance
18 of a new registration. Notwithstanding section 28E.10, a
19 county treasurer ~~may~~ shall utilize the ~~department's vehicle~~
20 ~~registration and titling records~~ system to facilitate the
21 purposes of this subsection.

22 Sec. 19. Section 321.46, subsections 2 and 5, Code 2026, are
23 amended to read as follows:

24 2. Upon filing the application for a new initial
25 registration and a new title, the applicant shall pay a title
26 fee of thirty dollars, an annual registration fee prorated
27 for the remaining unexpired months of the registration year,
28 and a fee for new registration if applicable. A manufacturer
29 applying for a certificate of title pursuant to section
30 322G.12 shall pay a title fee of twenty dollars. However, a
31 title fee shall not be charged to a manufactured or mobile
32 home retailer applying for a certificate of title for a used
33 mobile home or manufactured home, titled in Iowa, as required
34 under section 321.45, subsection 4. The county treasurer, if
35 satisfied of the genuineness and regularity of the application,

1 and in the case of a mobile home or manufactured home, that
2 taxes are not owing under chapter 435, and that applicant has
3 complied with all the requirements of this chapter, shall issue
4 a new certificate of title and, except for a mobile home,
5 manufactured home, or a vehicle returned to and accepted by a
6 manufacturer as described in section 322G.12, a registration
7 card to the purchaser or transferee, shall cancel the prior
8 registration for the vehicle, and shall ~~forward the necessary~~
9 ~~copies to the department~~ use the records system to update the
10 necessary information on the date of issuance, ~~as prescribed~~
11 ~~in section 321.24.~~ Mobile homes or manufactured homes titled
12 under chapter 448 that have been subject under section 446.18
13 to a public bidder sale in a county shall be titled in the
14 county's name, with no fee, and the county treasurer shall
15 issue the title.

16 5. The seller or transferor may file an affidavit on forms
17 prescribed and provided by the department with any county
18 treasurer certifying the sale or transfer of ownership of the
19 vehicle and the assignment and delivery of the certificate of
20 title for the vehicle. Upon receipt of the affidavit, the
21 county treasurer shall file the affidavit with the copy of the
22 registration receipt for the vehicle on file in the treasurer's
23 office and on that day the treasurer shall note receipt of
24 the affidavit in the ~~vehicle registration and titling~~ records
25 system. Upon filing the affidavit, it shall be presumed
26 that the seller or transferor has assigned and delivered the
27 certificate of title for the vehicle. For a leased vehicle,
28 the lessor licensed pursuant to chapter 321F or the lessee may
29 file an affidavit as provided in this subsection certifying
30 that the lease has expired or been terminated and the date that
31 the leased vehicle was surrendered to the lessor.

32 Sec. 20. Section 321.47, subsection 2, paragraph a, Code
33 2026, is amended to read as follows:

34 a. The persons entitled under the laws of descent and
35 distribution to the possession and ownership of a vehicle

1 owned in whole or in part by a decedent who died intestate,
2 upon filing an affidavit stating the name and date of death
3 of the decedent, the right to possession and ownership of
4 the persons filing the affidavit, and that there has been no
5 administration of the decedent's estate, which instrument must
6 also contain an agreement by the affiant to indemnify creditors
7 of the decedent who would be entitled to levy execution upon
8 the motor vehicle to the extent of the value of the motor
9 vehicle, shall, upon complying with the other title transfer
10 requirements of this chapter, be issued a registration card
11 for the decedent's interest in the vehicle and a certificate
12 of title to the vehicle. If a decedent died testate, and
13 either the will is not probated or is admitted to probate
14 without administration, the persons entitled to the possession
15 and ownership of a vehicle owned in whole or in part by the
16 decedent may file an affidavit and, upon complying with the
17 other title transfer requirements of this chapter, shall be
18 issued a registration card for the decedent's interest in
19 the vehicle and a certificate of title to the vehicle. The
20 affidavit must contain the same information and indemnity
21 agreement as is required in cases of intestacy under this
22 subsection. For a death occurring before January 1, 2025, a
23 requirement of chapter 450 shall not be considered satisfied by
24 the filing of the affidavit provided for in this subsection.
25 If, ~~from~~ upon review of the records ~~in the office of the county~~
26 ~~treasurer~~ system, there appear to be any liens on the vehicle,
27 the certificate of title must contain a statement of the liens
28 unless the application is accompanied by proper evidence of
29 the satisfaction or extinction of such liens. Evidence of
30 extinction includes but is not limited to an affidavit of the
31 applicant stating that a security interest was foreclosed as
32 provided in chapter 554, article 9, part 6. The department
33 shall waive the certificate of title fee and surcharge required
34 under sections 321.20, 321.20A, 321.23, 321.46, 321.52, and
35 321.52A if the person entitled to possession and ownership of

1 a vehicle, as provided in this subsection, is the surviving
2 spouse of a decedent.

3 Sec. 21. Section 321.50, subsections 3, 5, and 6, Code 2026,
4 are amended to read as follows:

5 3. Upon receipt of the application, the certificate of
6 title, if any, and the required fee, the county treasurer shall
7 note the security interest and the date of perfection of the
8 security interest on the certificate of title. The county
9 treasurer shall also note the security interest and the date
10 of perfection of the security interest in the ~~county~~ records
11 system. Upon receipt of a certificate of title issued by a
12 foreign jurisdiction, on which a security interest has been
13 noted, the county treasurer shall note the security interest
14 and the date the security interest was noted on the foreign
15 certificate of title, if available, or if not, the date of
16 issuance of the foreign certificate of title, on the face of
17 the new certificate of title. The county treasurer shall also
18 note the security interest and the date that was noted on the
19 certificate of title in the ~~county~~ records system. The county
20 treasurer shall then deliver the certificate of title to the
21 first secured party as shown thereon.

22 5. a. Except as provided in section 321.48, subsection
23 1, paragraph "b", when a security interest is discharged, the
24 holder shall note a cancellation of the security interest
25 on the face of the certificate of title over the holder's
26 signature or may note the cancellation of the security interest
27 on a separate, notarized release form or letter. The holder
28 shall deliver the certificate of title and the form or letter,
29 if applicable, to any county treasurer. In the case of a
30 security interest that has been delivered by electronic means,
31 the holder shall notify the department or the county treasurer,
32 in a manner prescribed by the department, of the release of
33 the security interest. The county treasurer shall immediately
34 note the cancellation of the security interest on the face of
35 the certificate of title, if applicable, and in the ~~county~~

1 records system. The county treasurer shall on the same day
2 deliver the certificate of title, if applicable, and the
3 separate, notarized release form or letter, if applicable,
4 to the then first secured party or, if there is no such
5 person, to the person as directed by the owner, in writing,
6 on a form prescribed by the department or, if there is no
7 person designated, then to the owner. The cancellation of
8 the security interest shall be noted on the certificate of
9 title by the county treasurer without charge. The holder of a
10 security interest discharged by payment who fails to release
11 the security interest within fifteen days after being requested
12 in writing to do so shall forfeit to the person making the
13 payment the sum of twenty-five dollars.

14 **b.** If a lien has been released by the lienholder but has
15 not been sent to the county of record for clearance of the
16 lien, any county may note the release on the face of the title
17 and shall notify the county of record that the lien has been
18 released as of the specified date and make entry upon the
19 ~~computer~~ records system. Notification to the county of record
20 shall be made ~~by an automated statewide~~ in the records system
21 or by sending a photocopy of the released title to the county
22 of record.

23 **c.** When a security interest is discharged, the lienholder
24 shall note the cancellation of the security interest on
25 the face of the title and, if applicable, may note the
26 cancellation of the security interest on a form prescribed
27 by the department and deliver a copy of the form in lieu of
28 the title to the department or to any county treasurer. The
29 form may be delivered by electronic means. The department or
30 county treasurer, as applicable, shall note the release of the
31 security interest upon in the statewide ~~computer~~ records system
32 ~~and the county's records~~. A copy of the form, if used, shall be
33 attached to the title by the lienholder, if the title is held
34 by the lienholder, and shall be evidence of the release of the
35 security interest. If the title is held by the lienholder, the

1 lienholder shall deliver the title to the first lienholder,
2 or if there is no such person, to the person as designated by
3 the owner, or if there is no such person designated, to the
4 owner. If a certificate of title has not been issued, upon
5 release of a security interest, the lienholder shall notify the
6 department or the county treasurer, in a manner prescribed by
7 the department, of the release of the security interest.

8 *d.* For purposes of this subsection, a security interest
9 noted on an Iowa certificate of title and appearing in the
10 ~~statewide computer records system and the county's records~~
11 shall be presumed to be discharged upon presentation of a
12 valid certificate of title subsequently issued by a foreign
13 jurisdiction on which the security interest is no longer noted.

14 6. Notwithstanding subsection 5, when an application for
15 registration and issuance of a certificate of title is made
16 by the means described in section 321.20, subsection 2, and
17 the application includes a certificate of title upon which a
18 security interest has been discharged by the secured party
19 and the cancellation of the security interest is noted by the
20 secured party on the certificate of title above the secured
21 party's signature, the county treasurer shall not require any
22 other notation of the cancellation of the security interest on
23 the face of the certificate of title, and the county treasurer
24 shall update such release on the ~~applicable program or computer~~
25 records system. A dealer licensed under chapter 322 or chapter
26 322C is authorized to sell such a vehicle pursuant to section
27 321.48, subsection 1, paragraph "b".

28 Sec. 22. Section 321.153, subsection 2, Code 2026, is
29 amended to read as follows:

30 2. The ~~distributed teleprocessing network~~ records system
31 shall be used in the collection, receipting, accounting, and
32 reporting of any fee collected through the registration renewal
33 or title process, with sufficient time and financial resources
34 provided for implementation.

35 Sec. 23. Section 321.198, subsection 3, Code 2026, is

1 amended to read as follows:

2 3. A person whose period of validity of the person's
3 driver's license is extended under this section may file an
4 application in accordance with rules adopted by the department
5 to have the person's record of issuance of a driver's license
6 retained in the ~~department's record~~ records system during the
7 period for which the driver's license remains valid. If a
8 person has had the record of issuance of the person's driver's
9 license removed from the ~~department's records~~ system, the
10 person shall have the person's record of driver's license
11 issuance reentered by the department upon request if the
12 request is accompanied by a letter from the applicable person's
13 commanding officer verifying the military service.

14 Sec. 24. Section 331.553, subsection 8, Code 2026, is
15 amended to read as follows:

16 8. Pursuant to an agreement under chapter 28E, collect
17 delinquent parking fines on behalf of a city in conjunction
18 with renewal of motor vehicle registrations pursuant to section
19 321.40. If the agreement provides for a fee to be paid to or
20 retained by the county treasurer from the collection of parking
21 fines, such fees shall be credited to the county general fund.
22 Fines collected pursuant to this subsection shall be remitted
23 biannually to the city. Notwithstanding section 28E.10, a
24 county treasurer ~~may~~ shall utilize the ~~state department of~~
25 ~~transportation's vehicle registration and titling~~ records
26 system described in section 321.31 to facilitate the purposes
27 of this subsection.

28 Sec. 25. TRANSITION. County treasurers shall continue
29 to perform all duties related to the county records system
30 described in section 321.31, subsection 2, Code 2026, and shall
31 retain and maintain the records contained in the county records
32 system prior to the applicability of this division of this Act.

33 Sec. 26. APPLICABILITY. This division of this Act applies
34 on and after December 1, 2028, or the date the department of
35 transportation submits to the Iowa administrative code editor

1 for publication in the Iowa administrative bulletin a statement
2 by the director of transportation that the applicable phase
3 of the department of transportation's new records system is
4 implemented, whichever is earlier. The department shall also
5 forward a copy of the statement to the Iowa Code editor.

6 DIVISION V

7 ELECTRONIC COMMUNICATIONS

8 Sec. 27. Section 321.11, subsections 2 and 4, Code 2026, are
9 amended to read as follows:

10 2. Notwithstanding subsection 1, personal information
11 shall not be disclosed to a requester, except as provided in
12 18 U.S.C. §2721, unless the person whose personal information
13 is requested has provided express written consent allowing
14 disclosure of the person's personal information. As used in
15 this section, "*personal information*" means information that
16 identifies a person, including a person's photograph, social
17 security number, driver's license number, name, address,
18 telephone number, electronic mail address, and medical or
19 disability information, but does not include information on
20 vehicular accidents, driving violations, and driver's status
21 or a person's zip code.

22 4. The department shall not release personal information
23 that is in the form of a person's photograph or digital image
24 or a digital reproduction of a person's photograph, or the
25 person's telephone number or electronic mail address, to a
26 person other than an officer or employee of a law enforcement
27 agency, an employee of a federal or state agency or political
28 subdivision in the performance of the employee's official
29 duties, a contract employee of the department of inspections,
30 appeals, and licensing in the conduct of an investigation, or a
31 licensed private investigation agency or a licensed security
32 service or a licensed employee of either, regardless of whether
33 a person has provided express written consent to disclosure of
34 the information. The department may collect reasonable fees
35 for copies of records or other services provided pursuant to

1 this section or section 22.3, 321.10, or 622.46.

2 Sec. 28. NEW SECTION. 321.16A **Electronic communications.**

3 1. As used in this section:

4 *a. "Document"* means information that the department is
5 required or authorized to provide to a person, and that is
6 eligible, as determined by the department, to be delivered
7 by electronic communication. *"Document"* includes but is
8 not limited to a notification, reminder, or other piece of
9 correspondence, other than a notice of a sanction.

10 *b. "Electronic communication"* means a document provided
11 electronically by the department and includes any of the
12 following:

13 (1) Sending a document to an electronic mail address or
14 telephone number at which the recipient has specifically given
15 consent to receive documents.

16 (2) Posting a document on an electronic network provided by
17 the department that is accessible via the internet, a mobile
18 application, computer, mobile device, tablet, or any other
19 electronic device, or on the department's internet site, along
20 with a separate electronic mail notification of the posting
21 sent to the address at which the recipient has consented to
22 receive notification or by any other delivery method to which
23 the recipient has given consent.

24 *c. "Notice of a sanction"* means notice of bar, cancellation,
25 denial, disqualification, downgrade, revocation, or suspension
26 delivered by the department under this chapter or chapter 321A,
27 321E, 321F, 321H, 321J, 321L, 321N, 322, 322A, 322C, 325A, 326,
28 327B, or 452A.

29 *d. "Recipient"* means a person who receives electronic
30 communication from the department under this chapter or chapter
31 321A, 321E, 321F, 321H, 321J, 321L, 321N, 322, 322A, 322C,
32 325A, 326, 327B, or 452A.

33 2. *a.* Subject to the requirements and limitations of
34 this section and except as expressly prohibited by law, the
35 department may use electronic communication to deliver a

1 document, other than a notice of a sanction, to a recipient.

2 The department may also use electronic means to store and
3 present a document delivered by electronic communication.

4 *b.* The department may use electronic communication to
5 deliver a document to a recipient if all of the following
6 occur:

7 (1) The recipient has affirmatively consented to such
8 method of delivery and has not withdrawn the consent.

9 (2) The recipient, before giving consent, is provided with
10 clear and conspicuous information concerning the rights of the
11 recipient and additional information, in accordance with rules
12 adopted by the department pursuant to chapter 17A, including
13 the use and protection of the recipient's personal information,
14 as defined in section 321.11.

15 (3) The recipient consents, or confirms consent, to
16 receive electronic communication in a manner that reasonably
17 demonstrates that the recipient can access electronic
18 communications in the method that the department will use for
19 electronic communications.

20 3. The department shall not use electronic communication
21 to deliver notice of a sanction. Notice of a sanction must be
22 delivered in accordance with section 321.16. This subsection
23 does not prohibit the department from using electronic
24 communication to send a courtesy copy of a notice of a sanction
25 by electronic means if the recipient has consented to receive
26 courtesy copies of a notice of a sanction, and if the copy is
27 available for electronic communication.

28 4. This section does not affect requirements of content or
29 timing of any notice or document required under applicable law.

30 5. *a.* A withdrawal of consent by a recipient does not
31 affect the legal effectiveness, validity, or enforceability
32 of a document delivered by electronic communication to the
33 recipient prior to the withdrawal of consent.

34 *b.* A withdrawal of consent is effective within a reasonable
35 period of time after the department receives notice of the

1 withdrawal.

2 6. This section does not apply to a document electronically
3 delivered by the department prior to the effective date of this
4 division of this Act if, before the effective date of this
5 division of this Act, the recipient received or consented to
6 receive a document in an electronic form otherwise allowed by
7 law.

8 7. The department may deliver a document by any other
9 delivery method permitted by law other than by electronic
10 communication if either of the following occurs:

11 a. The department attempted to use electronic communication
12 to deliver a document to a recipient and has a reasonable basis
13 for believing that the document has not been received.

14 b. The department becomes aware that the electronic mail
15 address or telephone number provided by the recipient is no
16 longer valid.

17 8. The department is authorized to collect telephone
18 numbers and electronic mail addresses on any department
19 application. Telephone numbers and electronic mail addresses
20 collected pursuant to this subsection shall be used and
21 disclosed only as authorized under this section or section
22 321.11.

23 9. The department's use of a recipient's telephone number or
24 electronic mail address for electronic communication shall not
25 constitute a disclosure under section 321.11.

26 10. The department shall adopt rules pursuant to chapter 17A
27 to administer this section.

28 Sec. 29. APPLICABILITY. This division of this Act applies
29 on and after December 1, 2028, or the date the department
30 of transportation submits to the Iowa administrative code
31 editor for publication in the Iowa administrative bulletin a
32 statement by the director of transportation that the department
33 of transportation's electronic communications system is
34 implemented, whichever is earlier. The department shall also
35 forward a copy of the statement to the Iowa Code editor.

1 EXPLANATION

2 The inclusion of this explanation does not constitute agreement with
3 the explanation's substance by the members of the general assembly.

4 This bill relates to matters under the purview of the
5 department of transportation (DOT).

6 CHAUFFEUR'S INSTRUCTION PERMITS. Under current law, a
7 chauffeur's instruction permit is valid for up to two years
8 for the operation of a motor vehicle, other than a commercial
9 motor vehicle, as a chauffeur when the permittee is accompanied
10 by a person who possesses a valid class D driver's license
11 (chauffeur's license) or commercial driver's license and who
12 is occupying a seat beside the permittee. Code section 321.1
13 defines a chauffeur as a person who operates a motor vehicle,
14 including a school bus, to transport people for pay, with
15 various exceptions.

16 The bill eliminates the chauffeur's instruction permit.
17 Under current law and the bill, a person may apply for a class
18 D driver's license, and neither a knowledge test nor a driving
19 test is required if the person holds a valid driver's license.
20 The person must pass a vision screening and have a clear
21 driving record for the previous two years.

22 ELECTRONIC ACCIDENT REPORTS. Under current law, the
23 driver of a vehicle involved in an accident resulting in
24 injury to or death of any person, or total property damage to
25 an apparent extent of \$1,500 or more, must within 72 hours
26 after the accident forward a written report of the accident
27 to the DOT. However, such report is not required when the
28 accident is investigated by a law enforcement agency. Every
29 law enforcement officer who, in the regular course of duty,
30 investigates a motor vehicle accident of which report must be
31 made, must forward a written report of such accident to the DOT
32 within 24 hours after completing such investigation.

33 The bill requires these written reports, as well as
34 reports of accidents involving law enforcement officers or
35 other emergency responders, to be submitted to the DOT in an

1 electronic format and in a manner approved by the DOT.

2 ELECTRONIC APPLICATIONS FOR DRIVER'S LICENSES AND
3 NONOPERATOR'S IDENTIFICATION CARDS. Under current law,
4 a person may be eligible to renew a driver's license
5 electronically pursuant to rules adopted by the DOT. The bill
6 authorizes a person to renew a nonoperator's identification
7 card electronically if the person is eligible pursuant to
8 rules adopted by the DOT. The bill also authorizes a person
9 to replace a driver's license or nonoperator's identification
10 card electronically if the person is eligible pursuant to rules
11 adopted by the DOT. The fee to replace a driver's license or
12 nonoperator's identification card is \$10.

13 The DOT is currently required, pursuant to Code section
14 321.189(6), to develop educational media to raise awareness
15 of a person's eligibility to apply for a replacement driver's
16 license or nonoperator's identification card electronically
17 upon attaining the age of 21.

18 This division of the bill applies on and after March 1, 2027,
19 or the date the DOT submits to the Iowa administrative code
20 editor for publication in the Iowa administrative bulletin a
21 statement by the director of transportation that the applicable
22 phase of the DOT's new records system is implemented, whichever
23 is earlier. The DOT is also required to forward a copy of the
24 statement to the Iowa Code editor.

25 RECORDS SYSTEM. Pursuant to current law, the DOT maintains a
26 motor vehicle records system which is used for various purposes
27 relating to the administration of Code chapter 321 by the DOT.
28 In addition, each county treasurer must maintain a county
29 records system for vehicle registration and certificate of
30 title documents. The county records system is required to be
31 maintained in a manner approved by the DOT. The bill strikes
32 the requirement for county treasurers to maintain a county
33 records system, and instead requires the DOT to maintain a
34 records system that both the DOT and county treasurers must use
35 for vehicle-related recordkeeping. The bill harmonizes various

1 references in Code chapters 321 (motor vehicles and law of the
2 road) and 331 (county home rule implementation) to the records
3 system.

4 County treasurers are required to continue to perform
5 all duties related to the county records system prior to the
6 applicability of this division of the bill.

7 This division of the bill applies on and after December 1,
8 2028, or the date the DOT submits to the Iowa administrative
9 code editor for publication in the Iowa administrative
10 bulletin a statement by the director of transportation that
11 the applicable phase of the DOT's new records system is
12 implemented, whichever is earlier. The DOT is also required to
13 forward a copy of the statement to the Iowa Code editor.

14 ELECTRONIC COMMUNICATIONS. The bill adds a person's
15 electronic mail address to the definition of "personal
16 information" for purposes of DOT records, and prohibits the DOT
17 from disclosing a person's electronic mail address or telephone
18 number, other than to specified parties, regardless of the
19 person's consent to the disclosure.

20 The bill authorizes the DOT to communicate using electronic
21 methods to provide documents including notifications,
22 reminders, and other pieces of correspondence, other than a
23 notice of a sanction, to persons who consent to the electronic
24 communication. In accordance with current law, unless a
25 different method of giving notice is expressly prescribed, the
26 DOT must give notice, including notice of a sanction under the
27 bill, by personal delivery to the person, by personal service
28 in the manner of original notice by rule of civil procedure,
29 or by first class mail addressed to the person at the address
30 shown in the DOT's records.

31 This division of the bill applies on and after December 1,
32 2028, or the date the DOT submits to the Iowa administrative
33 code editor for publication in the Iowa administrative bulletin
34 a statement by the director of transportation that the DOT's
35 new electronic communications system is implemented, whichever

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1 is earlier. The DOT is also required to forward a copy of the
2 statement to the Iowa Code editor.